

Fundamentals of Management

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Chapter **5** Organizational Structure and Design

Designing Organizational Structure

- **Organizational Design**

- A process involving decisions about six key elements:
 - ❖ Work specialization
 - ❖ Departmentalization
 - ❖ Chain of command
 - ❖ Span of control
 - ❖ Centralization and decentralization
 - ❖ Formalization

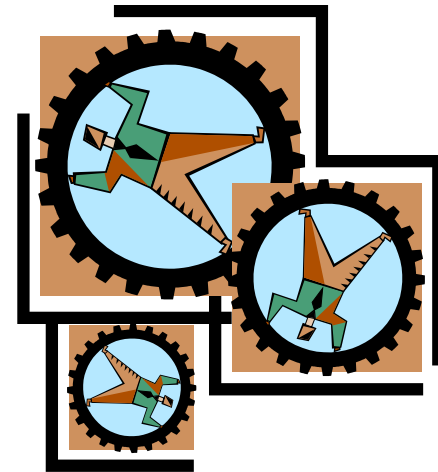
Exhibit 5–1 Purposes of Organizing

- **Divides work** to be done into specific jobs and departments.
- Assigns tasks and responsibilities associated with individual jobs.
- Coordinates diverse organizational tasks.
- **Clusters** jobs into units.
- **Establishes relationships** among individuals, groups, and departments.
- Establishes **formal lines** of authority.
- Allocates and deploys organizational resources.

Organizational Structure

- **Work Specialization**

- The degree to which tasks in the organization are divided into separate jobs with each step completed by a different person.
- **Overspecialization** can result in human diseconomies from boredom, fatigue, stress, poor quality, increased absenteeism, and higher turnover.



Departmentalization by Type

- **Functional**
 - Grouping jobs by functions performed
- **Product**
 - Grouping jobs by product line
- **Geographical**
 - Grouping jobs on the basis of territory or geography
- **Process**
 - Grouping jobs on the basis of product or customer flow
- **Customer**
 - Grouping jobs by type of customer and needs

Organizational Structure (cont'd)

- Chain of Command

- The **continuous line of authority** that extends from upper levels of an organization to the lowest levels of the organization and **clarifies who reports to whom**.



Organizational Structure (cont'd)

- **Authority**
 - The rights inherent in a managerial position to tell people what to do and to expect them to do it.
- **Responsibility**
 - The obligation or expectation to perform.
- **Unity of Command**
 - The concept that a person should have one boss and should report only to that person.

Organizational Structure (cont'd)

- **Span of Control**
 - The number of employees who can be effectively and efficiently supervised by a manager.

Exhibit 5–3 Contrasting Spans of Control

		Members at Each Level	
		(Highest) Assuming Span of 4	Assuming Span of 8
Organizational Level		1	1
	2	4	8
		16	64
	4	64	512
		256	4,096
	6	1,024	
		4,096	
(Lowest)			
		Span of 4:	Span of 8:
		Employees: = 4,096	Employees: = 4,096
		Managers (level 1–6) = 1,365	Managers (level 1–4) = 585

Organizational Structure (cont'd)

- **Centralization**

- The degree to which decision making is concentrated at upper levels in the organization.
 - ❖ Organizations in which top managers make all the decisions and lower-level employees simply carry out those orders.

- **Decentralization**

- Organizations in which decision making is pushed down to the managers who are closest to the action.

- **Employee Empowerment**

- Increasing the decision-making authority (power) of employees.

Exhibit 5–4 Factors that Influence the Amount of Centralization and Decentralization

- **More Centralization**

- Environment is **stable**.
- **Lower-level managers are not as capable or experienced** at making decisions as upper-level managers.
- Lower-level managers do not want to have a say in decisions.
- Decisions are relatively **minor**.
- Organization is facing a **crisis or the risk of company failure**.
- Company is **large**.
- Effective implementation of company strategies depends on **managers retaining say over what happens**.

Exhibit 5–4 (cont'd) Factors that Influence the Amount of Centralization and Decentralization

- **More Decentralization**

- Environment is **complex, uncertain**.
- **Lower-level managers are capable** and experienced at making decisions.
- **Lower-level managers want a voice** in decisions.
- Decisions are significant.
- Corporate culture is open to allowing managers to have a say in what happens.
- Company is geographically dispersed.
- Effective implementation of company strategies depends on managers having involvement and flexibility to make decisions.

Exhibit 5–5 Mechanistic Versus Organic Organization

Mechanistic

- **High specialization**
- **Rigid departmentalization**
- **Clear chain of command**
- **Narrow spans of control**
- **Centralization**
- **High formalization**

Organic

- **Cross-functional teams**
- **Cross-hierarchical teams**
- **Free flow of information**
- **Wide spans of control**
- **Decentralization**
- **Low formalization**

Contingency Factors

An appropriate organization structure depends on four contingency variables: organization's strategy, size, technology, and degree of environmental uncertainty.

Strategy and structure: Most current strategy frameworks tend to focus on three dimensions:

- *Innovation:* An organization's drive to be on the cutting edge of its industry.
- *Cost minimization:* An organization's push to tightly control costs.
- *Imitation:* An organization's attempt to minimize risk and maximize profit opportunities by copying the market leaders.

Size and structure: Considerable evidence indicates that an organization's size significantly affects its structure.

For example, large organizations those with 2000 or more employees tend to have more specialization, departmentalization, centralization and rules and regulations than do small organizations. However, the relationship is not linear.

Contingency Factors (cont'd)

Technology and structure: Every organization has at least one form of technology to convert its inputs into outputs. The three categories, representing three distinct technologies, have increasing levels of complexity and sophistication.

- **Unit production** :Describes the production of items in units or small batches.
- **Mass production:** Describes large-batch manufacturing.
- **Process production:** Describes the production of items in continuous processes.

Degree of environmental uncertainty :One way to reduce environmental uncertainty is through adjustments in the organization's structure. The greater the uncertainty, the more an organization needs the flexibility offered by an organic structure. On the other hand, in a stable, simple environment, a mechanistic structure tends to be most effective.

Common Organizational Designs

- Traditional Designs

- Simple structure

- ❖ Low departmentalization, wide spans of control, centralized authority, little formalization

- Functional structure

- ❖ Departmentalization by function
 - Operations, finance, marketing, human resources, and product research and development

- Divisional structure

- ❖ Composed of separate business units or divisions with limited autonomy under the coordination and control the parent corporation.

Exhibit 5–7 Strengths and Weaknesses of Traditional Organizational Designs

Simple Structure

Strengths: Fast; flexible; inexpensive to maintain; clear accountability.

Weaknesses: Not appropriate as organization grows; reliance on one person is risky.

Functional Structure

Strengths: Cost-saving advantages from specialization (economies of scale, minimal duplication of people and equipment) and employees are grouped with others who have similar tasks.

Weaknesses: Pursuit of functional goals can cause managers to lose sight of what's best for overall organization; functional specialists become insulated and have little understanding of what other units are doing.

Divisional Structure

Strengths: Focuses on results—division managers are responsible for what happens to their products and services.

Weaknesses: Duplication of activities and resources increases costs and reduces efficiency.

Exhibit 5–8 Contemporary Organizational Designs

Team Structure

- **What it is:** A structure in which the entire organization is made up of work groups or teams.
- **Advantages:** Employees are more involved and empowered. Reduced barriers among functional areas.
- **Disadvantages:** No clear chain of command. Pressure on teams to perform.

Matrix-Project Structure

- What it is:** A structure that assigns specialists from different functional areas to work on projects but who return to their areas when the project is completed. Project is a structure in which employees continuously work on projects. As one project is completed, employees move on to the next project.
- **Advantages:** Fluid and flexible design that can respond to environmental changes. Faster decision making.
 - **Disadvantages:** Complexity of assigning people to projects. Task and personality conflicts.

Exhibit 5–8 (cont'd) Contemporary Organizational Designs

Boundaryless Structure

- | | |
|------------------|--|
| What it is: | A structure that is not defined by or limited to artificial horizontal, vertical, or external boundaries; includes virtual and network types of organizations. |
| • Advantages: | Highly flexible and responsive. Draws on talent wherever it's found. |
| • Disadvantages: | Lack of control. Communication difficulties. |

Organizational Designs (cont'd)

- Contemporary Organizational Designs

- Team structures

- ❖ The entire organization is made up of work groups or self-managed teams of empowered employees.

- Matrix and project structures

- ❖ Specialists from different functional departments are assigned to work on projects led by project managers.
- ❖ Matrix and project participants have two managers.
- ❖ In project structures, employees work continuously on projects; moving on to another project as each project is completed.

Organizational Designs (cont'd)

- Contemporary Organizational Designs (cont'd)

- Boundary less Organization

- ❖ An flexible and unstructured organizational design that is intended to break down external barriers between the organization and its customers and suppliers.
- ❖ Removes internal (horizontal) boundaries:
 - Eliminates the chain of command
 - Has limitless spans of control
 - Uses empowered teams rather than departments
- ❖ Eliminates external boundaries:
 - Uses virtual, network, and modular organizational structures to get closer to stakeholders.

Removing External Boundaries

- **Virtual Organization**

- An organization that consists of a **small core** of full-time employees and that temporarily **hires** specialists to work on opportunities that arise.

- **Network Organization**

- A **small core organization** that **outsources** its major business functions (e.g., manufacturing) in order to concentrate on what it does best.

- **Modular Organization**

- A manufacturing organization that uses **outside suppliers to provide product components for its final assembly operations.**

Today's Organizational Design Challenges

- **Keeping Employees Connected**
 - Widely dispersed and mobile employees
- **Building a Learning Organization**
- **Managing Global Structural Issues**
 - Cultural implications of design elements

Organizational Designs (cont'd)

- The Learning Organization

- An organization that has developed the capacity to continuously **learn, adapt, and change** through the practice of knowledge management by employees.
- Characteristics of a learning organization:
 - ❖ An **open team-based organization** design that **empowers employees**
 - ❖ Extensive and open information **sharing**
 - ❖ Leadership that provides a shared vision of the organization's future.
 - ❖ A strong culture of shared values, trust, openness, and a sense of community.